A financial AI assistant should check the assumptions behind a question before offering an answer. A Which? investigation published in November 2025 illustrates why this matters. Researchers deliberately asked how to invest a £25,000 annual ISA allowance, although the applicable allowance was £20,000. In that test, ChatGPT and Copilot failed to correct the premise and continued providing investment guidance. This does not establish that sycophancy caused the error; inadequate factual verification could also explain it. Nevertheless, it shows how an apparently helpful answer can carry a user's mistaken assumption into a financial decision.

AI-sycophancy makes this concern particularly relevant to investment research. In May 2025, OpenAI explained that a GPT-4o update had made the model excessively agreeable, including validating doubts and encouraging impulsive actions, and that the update had been rolled back. In a financial setting, I think similar behaviour could reinforce confirmation bias. An investor who asks an assistant to justify buying a favourite stock might receive a persuasive argument that overlooks contrary evidence. This is a plausible risk rather than a financial outcome demonstrated by that incident. For me, the lesson is that user satisfaction and analytical quality are different objectives: a useful investment assistant must be able to challenge the user's preferred conclusion.

The discussion of “AI-psychosis” raises a related but more serious concern about reinforcing unfounded beliefs. I would distinguish this from ordinary investment overconfidence or a poor financial decision. OpenAI's October 2025 safety update explicitly addressed responses to possible delusions and mania, including avoiding affirmation of ungrounded beliefs. This provider statement does not establish that AI causes psychosis. However, it suggests an important boundary for financial applications. In a hypothetical situation where a user believes an AI is revealing secret market messages intended exclusively for them, the assistant should not validate that belief or claim special predictive powers. It should respond respectfully, avoid encouraging consequential transactions based on that belief, and encourage appropriate human support.

These issues also change how I interpret my own Fisher agent. Its SQL-based rules make the numerical verdicts independent of a user's enthusiasm, while the competitive-advantage prompt requires the model to use interview evidence. However, these design choices do not prove resistance to sycophancy. The agent achieved 60/60 correct verdicts in one public-test run, but that test did not evaluate leading user statements, prolonged interaction or psychological safety. A useful future test would keep the company evidence unchanged while adding bullish and bearish user opinions, then check whether the verdict changes without an evidential reason. I would also test whether the explanation preserves adverse evidence. My main takeaway is that financial AI should help users examine their beliefs and understand uncertainty, while keeping conclusions accountable to evidence.